

Bribery and Corruption Risk Assessment Report - FY 2026/2027

Appendix III(a) of the EACC Practical Guide for Corruption Risk Assessment and Management | Ref. DRCA/ABC/CRA/2026-27

Institution	Demo Revenue Collection Agency (DRCA), Institution ID DEMO-004
Assessment period	4 - 29 August 2026
Assessment team	Seven Integrity Assurance Officers led by the Senior IAO
Adopted	CPC special meeting, 2 September 2026 (MIN. CPC/SP/02/2026-27)
Evidence category	Risk-assessment evidence (Sub-indicator 2). Submitted to the oversight portal on 25 September 2026, before the 30 September 2026 deadline.

1. Scope and context

The assessment covered DRCA's **core functions** (registration, revenue assessment, collection, arrears management and write-offs, refunds and clearance certificates, compliance and enforcement, taxpayer services) and **support functions** (finance, supply chain, human resource, ICT, legal and internal audit) at headquarters and all four regional offices, through document review, process walkthroughs, 38 staff interviews and an anonymous staff survey (n = 212).

2. Method and rating scale

Each risk was rated for **probability (Pr)** and **impact (Im)** on a 1-5 scale (1 = very low, 5 = very high). Score = Pr x Im (1-25). Bands: 1-6 Low, 7-14 Medium, 15-25 High. Existing controls were recorded for each risk.

3. Corruption risk register (Appendix III(a))

S. No	Function	Identified corruption risk (what could go wrong)	Risk source (why it could occur)	Existing controls	Pr	Im	Score	Band
R-01	Core: arrears management and write-offs	Manual penalty write-offs: penalties and levy arrears written off manually in exchange for a bribe	No value-based write-off authority; one officer can recommend and approve; no independent review of exceptions	Write-off and Waiver Policy (2019) without thresholds; manual approval memo	4	5	20	High
R-02	Support: supply chain	Weak oversight of procurement approvals: purchase orders and awards approved without required checks or declarations, favouring connected suppliers	No independent check of approvals after the fact; incomplete conflict of interest declarations by evaluators	Tender committee; partial e-procurement	4	4	16	High
R-03	Core: revenue assessment	Under-assessment of levy through manual adjustments in return for an advantage	Manual adjustments without second-level approval; weak audit trail	Supervisor sign-off above KES 1M only	4	4	16	High
R-04	Core: compliance and enforcement	Solicitation of bribes during compliance and enforcement visits	Single-officer visits; long tenure in one region; no visit logging	Rotation policy not enforced	3	4	12	Medium

S. No	Function	Identified corruption risk (what could go wrong)	Risk source (why it could occur)	Existing controls	Pr	Im	Score	Band
R-05	Core: refunds and clearance certificates	Facilitation payments demanded to expedite refunds or clearance certificates	Manual queue with undue discretion over processing order	Service charter timelines published	3	3	9	Medium
R-06	Support: human resource	Recruitment or promotion influenced by private interest	Panel members not required to declare conflicts per candidate	HR manual; three-member panels	2	4	8	Medium
R-07	Support: ICT	Unauthorized alteration of taxpayer ledger balances	Shared privileged accounts; audit logs not reviewed	Password policy; annual access review	2	5	10	Medium
R-08	Support: finance	Irregular or duplicate refund payments	Single-person verification of refund vouchers	Payment approval by Head of Finance	2	4	8	Medium

4. Key findings

- R-01 (write-offs) is the highest-rated risk (20). In FY2025/2026, 61 write-offs worth KES 11.4 million were approved under memos without value thresholds; 44 were recommended and approved by the same officer.
- R-02 (procurement approvals) is High (16): a sample of FY2025/2026 awards showed 9 of 40 without a complete set of evaluator declarations, and no after-the-fact check of approvals exists.
- R-03 (manual assessment adjustments) is High (16) and linked to R-01: an under-assessment followed by a write-off can remove a liability twice.
- Most staff in Debt Management, Revenue Assessment and Taxpayer Services reported no training on DRCA's corruption prevention procedure.
- Risks R-04 to R-08 are Medium; existing controls rely on single individuals.

5. Prioritisation

The CPC directed that High risks R-01, R-02 and R-03 be addressed first: R-01 controls and staff training in Q1, then quarterly exception reviews (R-01) and procurement approval spot-checks (R-02) from Q2. All risks are treated in the Mitigation Plan DRCA/ABC/CRMP/2026-27.

6. Approval

Name	Designation / role	Signature	Date
Ms. Zawadi A. Ochieng	Chair, IAO Committee - prepared		1 September 2026
Dr. Imani W. Kamau	Director General and Accounting Officer - approved		2 September 2026